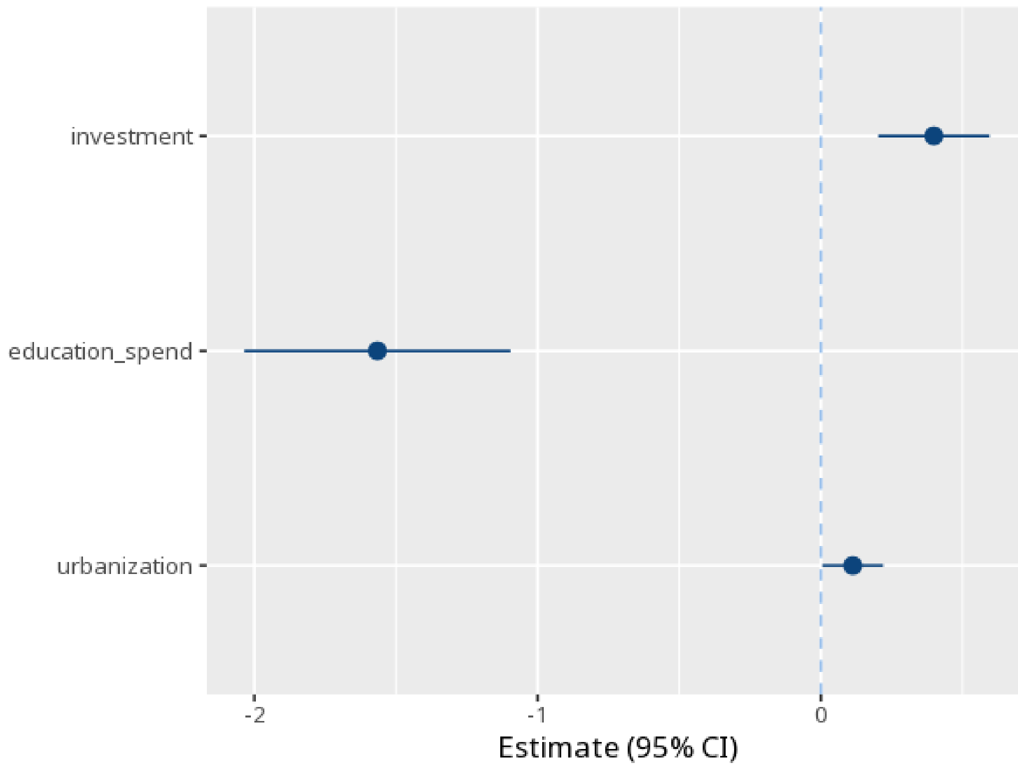
# 1 Random effects

| | (1) |
|---|---|
| (Intercept) | 0.13 |
| | (0.47) |
| | [−0.79, 1.06] |
| investment | 0.40 |
| | (0.10) |
| | [0.20, 0.59] |
| education_spend | −1.57 |
| | (0.24) |
| | [−2.04, −1.10] |
| urbanization | 0.11 |
| | (0.05) |
| | [0.00, 0.22] |
| Num.Obs. | 100 |
| N entities | 10 |
| $R^2$ | 0.93 |
| $R^2$ Adj. | 0.93 |
| Within $R^2$ | .36 |
| Between $R^2$ | 1.00 |
| Overall $R^2$ | .93 |




Like fixed effects but treats entity differences as random, allowing time-invariant predictors. Read each B/p as usual - but only trust this model if the Hausman test favours random over fixed effects. Method: R plm package (Croissant & Millo, 2008). Your significance threshold ($\alpha$) is 0.05.

In a random-effects model, predictor investment gave B=0.40, p < .001.

Statistical basis: Random-effects (GLS) panel estimator (Croissant, Y., Millo, G. (2008). "Panel Data Econometrics in R: The plm Package." Journal of Statistical Software, 27(2), 1-43.).